

Top US Tax Filing Mistakes That Cost Individuals Thousands

Why DIY filing and “refund-percentage” preparers often backfire



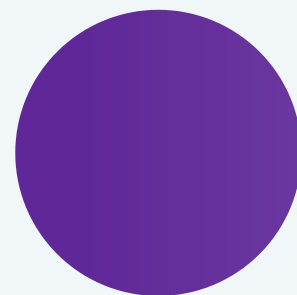
The Real Problem

Many individuals:

- File returns themselves using DIY software
- Choose low-cost preparers promising “maximum refund %”
- Focus only on Form 1040 — not the full compliance picture

Result:

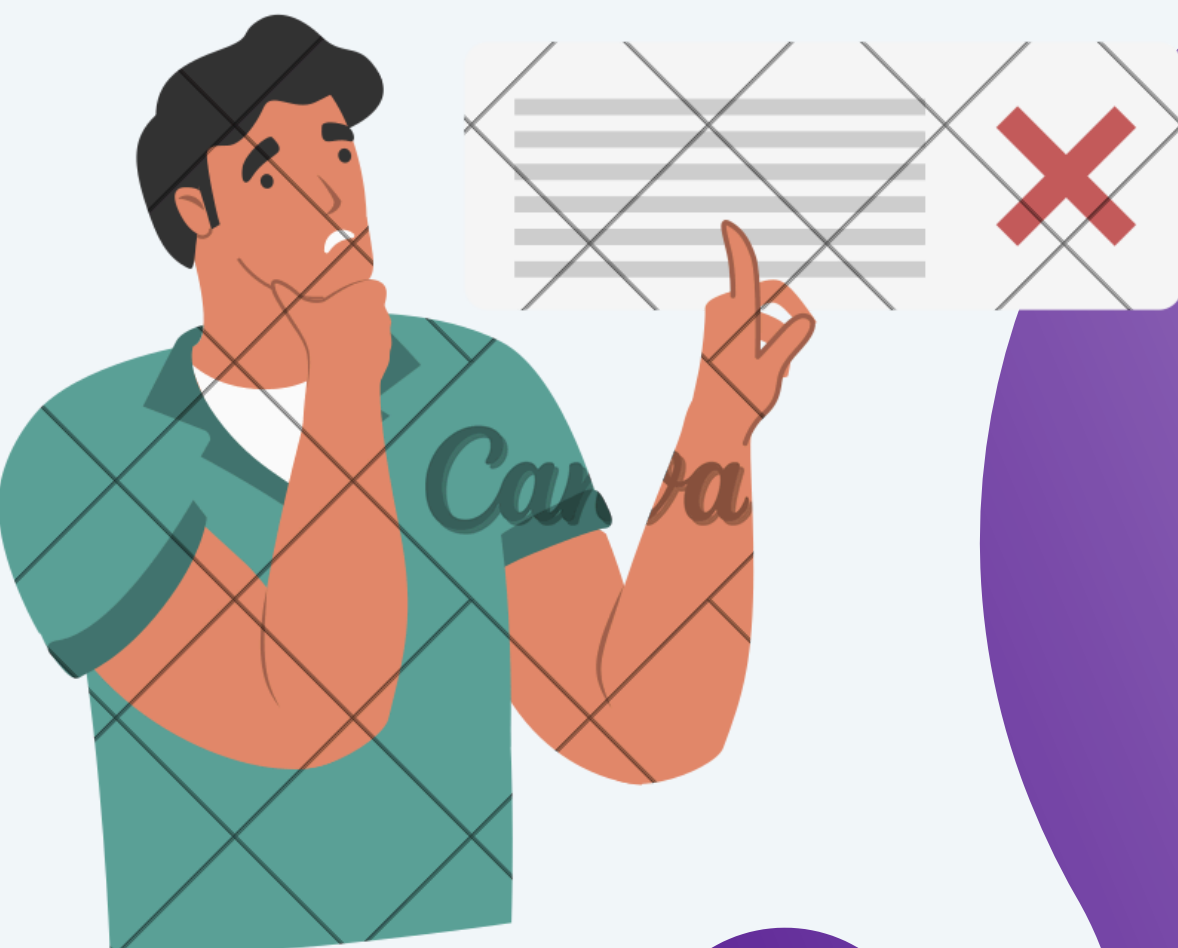
- ⚠ **IRS Notices**
- ⚠ **Penalties**
- ⚠ **Delayed Refunds**
- ⚠ **Future Audits**



Mistake #1: Filing Before Receiving All Income Documents

What goes wrong

- Missing Forms 1099 (interest, investments, gig income)
- Incomplete brokerage or crypto statements



Why it's risky

- IRS income-matching triggers automatic notices
- Leads to amended returns, penalties, and interest

Mistake #2: Incorrect Filing Status Selection

Common errors

- Choosing Single vs Head of Household incorrectly
- Incorrect MFJ vs MFS decisions



Impact

- Wrong tax brackets
- Lost credits and deductions
- Higher long-term tax cost, not just for the current year

Mistake #3: Not Reconciling Advance Credits

Frequently Mishandled

- Child Tax Credit
- ACA premium tax credits
- Prior-year stimulus or advance payments



Consequences:

- Refund delays
- IRS clawbacks months later

Mistake #4: Ignoring “Non-Tax” Forms With Heavy Penalties

Forms often missed:

- FBAR (FinCEN Form 114) – foreign bank accounts
- Form 5471 – foreign companies
- Form 8938 – foreign financial assets



Reality check

These forms may not change
your tax payable —
but penalties can run into tens
of thousands of dollars.

Why Refund-Based Filers Create Risk

Refund-focused preparers typically:

- Optimize for numbers, not defensibility
- Skip disclosure-heavy international forms
- Avoid deeper review to protect margins



**Refund today.
Notice tomorrow.**

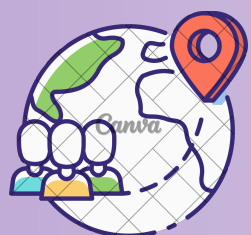


How TrueLedger Does It Differently



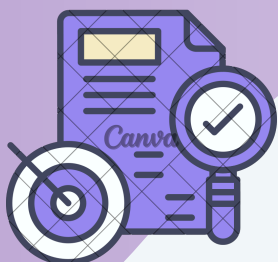
Comprehensive income and document reconciliation

Filing status and credit optimization backed by analysis



Full foreign asset and disclosure compliance

Multi-level review by experienced US tax professionals



Accuracy-first, audit-resilient returns — not refund gimmicks



Work with us today

HAVE ANY QUESTIONS ABOUT WORKING WITH US?

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